

1. RBI Guidelines on Foreclosure

RBI Rules: Lenders CANNOT charge prepayment or foreclosure penalties on floating rate home loans and floating rate personal loans to individual borrowers.

2. Fixed Rate Loan Charges

Fixed rate loans may attract 2% to 4% foreclosure charges on outstanding principal balance if prepaid before tenure maturity.

3. Prepayment Strategy

Part-prepaying early in loan tenure reduces principal faster and saves substantial interest compared to prepaying near loan maturity.